

V.S. Achuthanandan v. R. Balakrishna Pillai & Ors.

Supreme Court of India · Two-Judge Bench · 10 February 2011 · Criminal Appeal No. 350 of 2006 · **Appeal allowed in part; High Court's acquittal reversed, convictions of A1, A3 and A6 restored (sentence moderated to 1 year RI plus fine given two decades' delay)**

HEADNOTE

Not a Supply Code case — a criminal appeal against acquittal on charges of criminal conspiracy, criminal breach of trust, and corruption (IPC ss.120-B/409; Prevention of Corruption Act, 1947 ss.5(1)(c)/5(2)) arising from the Kerala State Electricity Board's award, at grossly exorbitant rates and with special conditions favouring a chosen contractor, of remedial/tunnel-construction contracts for the Idamalayar Hydro Electric Power Project, allegedly at the instance of the then Minister for Electricity. Recorded compactly given the absence of any Supply Code/consumer-billing nexus (this concerns Electricity (Supply) Act, 1948 s.78A ministerial-policy-direction limits and criminal-law/evidence questions in a corruption prosecution against Electricity Board officials and a Minister), though it is of interest to this corpus as a rare precedent on the limits of ministerial interference in a State Electricity Board's contract-awarding process.

HOLDING-UNITS

INTERPLAY · OFFTOPIC::seb-contract-corruption-ministerial-interference

The Minister for Electricity's persistent interference in a State Electricity Board's tender/contract-award process for a hydroelectric project (steering the contract to a favoured, unqualified late tenderer at 162-188% above the estimated rate, disadvantaging lower and more experienced tenderers) sustains criminal breach-of-trust and corruption convictions, notwithstanding the Board's formal 'collective decision' framing and the absence of direct evidence of personal monetary benefit to the Minister

HOLDING

Reversing the High Court's acquittal and restoring (with a moderated sentence, given nearly two decades' delay) the Special Court's conviction of the Minister (A1), a contractor's associate (A3) and a Board Member (A6), the Supreme Court held that s.78A of the Electricity (Supply) Act, 1948 confines the State Government's role to policy directions, not operational contract-award decisions; extensive witness evidence (of disadvantaged/excluded tenderers) established that the Minister pre-selected the eventual contractor before he even submitted a tender, procedurally manipulated the tendering timeline (repeated tender cancellations/re-invitations, selective notice to favoured tenderers, denial of a hearing opportunity to a disqualified rival tenderer) to eliminate more competitive bids, and rebuffed workers'/lower-cost alternatives, resulting in contracts awarded at 162-188% above the estimated rate with special conditions heavily favouring the contractor; the Board's 'collective decision' framing did not exculpate the accused given the absence of genuine deliberation (minutes dictated by the Chairman) and documented internal objections (Financial Adviser, Law Secretary) that were disregarded. An Appellate Court reviewing an acquittal has full power to reappraise evidence, subject to the double presumption of innocence, but need not defer to a High Court's contrary conclusion where that conclusion is not borne out by the evidence. ¶ paras 8-48

LIMITING FACTS

The Idamalayar Hydro Electric Power Project (Kerala) developed leaks/cracks in 1985 necessitating extensive remedial works; the underlying power-tunnel and surge-shaft construction contracts (1982) had been awarded, after prolonged tendering irregularities during R. Balakrishna Pillai's (A1) tenure as Minister for Electricity, to K.P. Poulose (A4, since deceased) at 188% and 162% above the Probable Amount of Contract respectively; a judicial Commission of Inquiry (1988) recommended criminal investigation; trial resulted in conviction (1999), reversed by the Kerala High Court (2003) and challenged by the original public-interest objector before the Supreme Court.

FLAG Recorded compactly given its criminal-law/corruption-prosecution character and absence of Supply Code nexus; the extensive witness-by-witness evidentiary analysis (paras 9-22) was not exhaustively catalogued.

AUTHORITY	PROPOSITION	HOW TREATED	CITED BY	TREATMENT
<i>V.S. Achuthanandan v. R. Balakrishna Pillai & Ors.</i> (1994) 4 SCC 299 [1296574] Supreme Court	Earlier round of the same litigation: set aside a High Court order permitting withdrawal of prosecution against a co-accused (A5), restoring the Special Judge's order declining consent for withdrawal.	Referenced as prior procedural history in the same case.	Court	Cited

SCJ-141 · V.S. Achuthanandan v. R. Balakrishna Pillai & Ors. · · Supply Code Jurisprudence

A jurisprudence extract prepared from the text of the judgment; not a substitute for the judgment, and to be verified against the original before use.